

Of course, working for yourself puts various stresses on you, too; there are no benefits, no pension plans and little to no job security. You won't know how much money is coming in every month, which can be unnerving at best, terrifying at worse. You probably won't have the opportunity to buy a home—at least not initially—because no one will want to take the credit risk. Buying a house is a huge expense, even if you are married and combine incomes with your spouse. The average household income of a young Canadian couple has climbed 5 percent since 1976, whereas housing prices have climbed 76 *percent*. If you always dreamed of having a house by the time you were 30, it may be time to quit dreaming.

If it looks like you're going to be self-employed for a while, you may want to look into opening an RRSP (registered retirement savings plan) for yourself. The money you put into an RRSP will benefit from tax-deferred compounded growth over the next four decades. The best thing about an RRSP is that you don't have to make big contributions. If you put in \$500 a year for the next 40 years, you'll save \$77,381. That breaks down to \$42 a month, which is the price of a nice dinner out. And you can always up the size of your contribution once you've secured a steady income stream.

There's no scenario where you *don't* want an RRSP. If you're lucky enough to work at a company that offers a matching program, even better. But you should have one either way, because an RRSP is for life. It's a free gift from the government, a way for you to get tax-free returns throughout your working years. RRSPs are basically tax-deferral programs: you invest in them while you're still working. You only pay tax when you withdraw the money from your RRSP the day you retire.

Frankly, putting money into an RRSP is a good idea even if you *do* have a full-time job. Over the last decade, many Canadian companies have closed their traditional defined benefit (DB) pension plans. New employees are often steered into group RRSPs or defined contribution (DC) plans instead. Unlike a traditional DB pension, the DC plans don't pay a guaranteed level of income in retirement. Let's say you're 25 years old when you land a plum position with a \$40,000 annual salary and a very competitive DB pension plan. If